What's a Purchase Order?

A simple guide to how companies decide what to buy, how much, and when!

A Shopping List for Grown-Ups!

- A **Purchase Order (PO)** is like a shopping list for a company.
- It tells a store what items to send and how many.
- The company promises to pay after everything arrives.

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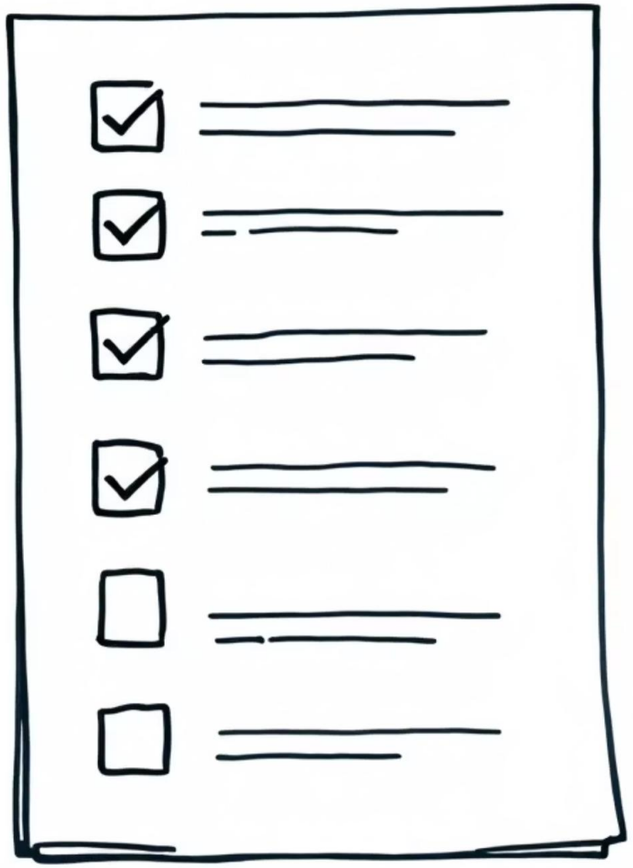
Staying Organized!

Keeps track of what's been ordered.

Helps avoid running out or buying too much.

Acts like a receipt before buying!



The Smart Formula!

We don't guess – we check our shelves first.

Reorder Level – QOH – QOO

That number tells us what we *should* order.

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Meet Our Inventory Helpers!

Term	Meaning	Example
QOH	What's on the shelf now	5 bike helmets
QOO	What's already ordered	10 more on the way
Reorder Level	The safe amount to keep	8 helmets minimum

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Adjusting for the Season!

Sometimes we order extra

(like bug spray for summer).

Sometimes we order less

(like gloves before winter ends).

Smart buyers think ahead!

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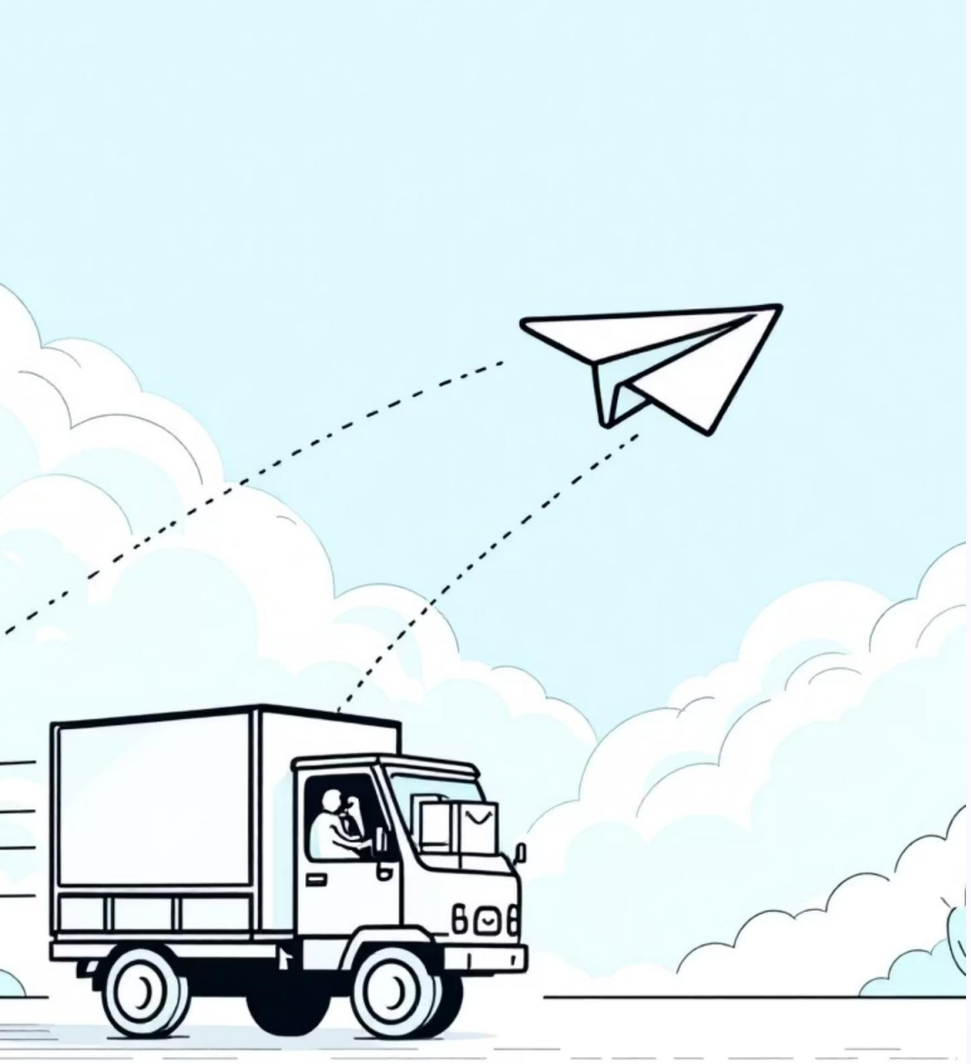

Off It Goes!

01

The Purchase Order goes to the vendor.

02

The vendor packs everything and ships it.

03

We wait for the delivery!

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Checking What Arrives!

- We check the boxes when they come in.
- Make sure the right items and amounts arrived.
- Mark the PO as **Received** when done.

Sometimes Things Go Differently!

A vendor might send less or more.

We record what actually arrived.

Then we close the order – and start the next one!

Why Purchase Orders Are Awesome!

- Keeps businesses organized and stocked.
- Saves money by ordering smart.
- Makes sure everyone gets what they need, when they need it.